Close the gap. Lift Vi EBITDA.

A 24-month diagnostic for closing the ARPU gap to Airtel, taking opex per subscriber, and freeing working capital — adding **₹8,500–10,500 cr** to Adjusted EBITDA by FY29.

CLIENT
Vodafone Idea Ltd.

TIME HORIZON
24 months · FY27–FY29

SOURCE — VI ANNUAL REPORT 2025-26 · Q1 FY27

CUSTOMER ARPU · Q1 FY27

the gap that owns the upside

VI TODAY

₹195

vs Airtel ₹264 · gap **₹69**

TARGET · FY29

₹227

ADJUSTED EBITDA · TARGET

₹29,000 cr

FY26 ₹19,003 cr → margin 51%

GOVERNING THOUGHT

Closing the ₹69 ARPU gap to Airtel by half, lifting Adjusted EBITDA to ~₹29,000 cr and margin to 51% by FY29 — three named levers add ₹8,500–10,500 cr of EBITDA.

SITUATION

Vi is the third private operator with **192.8 mn subs, ₹190 customer ARPU, ₹44,873 cr FY26 revenue** — and the AGR ruling plus ₹45,000 cr 3-year capex plan unlock a **24-month window of policy clarity**.

COMPLICATION

Customer ARPU sits **₹69 per sub below Airtel**; Adjusted EBITDA margin trails by **~1,750 bps**; underlying Q1 FY27 loss was still **₹3,754 cr**; the ARPU gap is widening in absolute terms even as Vi grows faster off a low base.

QUESTION

How does Vi close the gap to Airtel by half within 24 months, restore underlying profitability, and stay financed through the cycle?

TOP-OF-PYRAMID · THREE MECE SUPPORTS

01 The ARPU gap is the single largest lever

Every ₹10 of ARPU = ~₹2,300 cr revenue · ~₹1,000 cr EBITDA · closing the gap by half lifts EBITDA by **~₹3,000 cr**.

02 Subscriber base stabilised in Feb 2026 — mix is the ungating lever

First net adds in 8 quarters, postpaid base +4.5 mn in 4 quarters (25.6 → 30.1 mn) — mix shift unlocks **~₹2,500–4,000 cr** more EBITDA.

03 Network opex per sub gap of ~25% to Airtel is addressable

Energy efficiency, AI ops automation, tower portfolio renewal, and shared back-haul — together **₹1,200–1,800 cr** p.a. identified.

NON-OBVIOUS INSIGHT

FY26 reported PAT of **+₹51,970 cr** is an Ind-AS one-time: ₹57,491 cr AGR derecognition lifted PBT — strip it out, and Vi's underlying Q1 FY27 loss still narrowed to **₹3,754 cr**. The strategic case stands on operating fundamentals, not balance-sheet relief.

Source — Vi Annual Report 2025-26 · Q1 FY27 release · Bharti Airtel Q4 FY26 highlights

Vi is the third private telco with 192.8 mn subs and ₹190 customer ARPU — yet every paying customer generates ₹69 less per month than at Airtel.

REVENUE FROM OPERATIONS

₹44,873 cr

▲ 3.0% YoY · FY26

FY24 ₹42,650 cr → FY25 ₹43,571 cr → FY26 ₹44,873 cr

CUSTOMER ARPU · MONTHLY

₹190

▲ 8.3% YoY · Q4 FY26 · ₹195 in Q1 FY27

Q1 FY25 ₹146 · Q4 FY25 ₹175 · Q4 FY26 ₹190

SUBSCRIBER BASE · EOP

192.8 mn

▲ First net adds since 2018

4G/5G share 67% · postpaid 30.1 mn (+4.5 mn YoY)

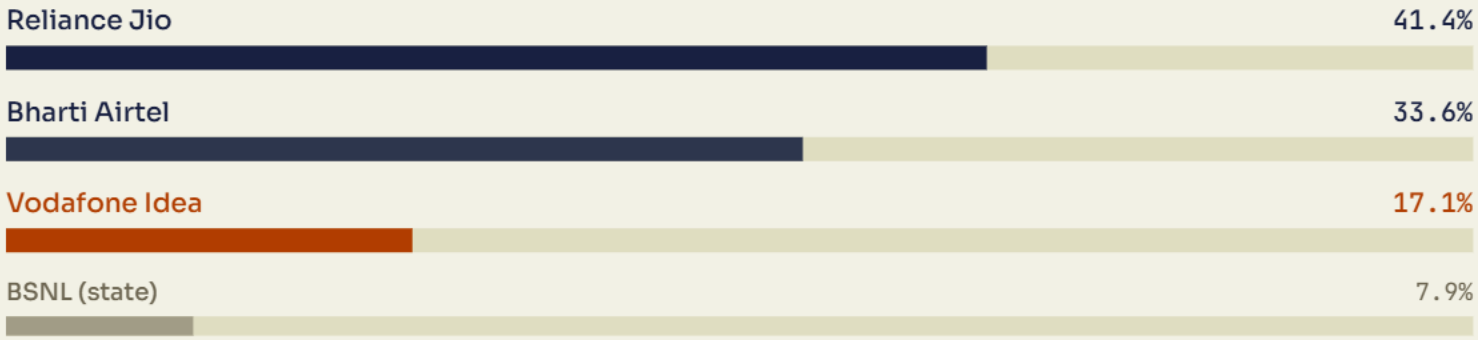
ADJUSTED EBITDA · FY26

₹19,003 cr

43.1% ▲ +150 bps YoY

Cash EBITDA margin 21.5% · Q4 FY26

WIRELESS SUBSCRIBER MARKET SHARE · OCT 2025



*So-what: top three private operators control **~92%** of the market; Vi alone loses share to Airtel; a duopoly-plus-one structure raises the cost of surrendering the third slot.*

NETWORK & SPECTRUM

200+
5G cities across 17 priority circles · Q1 FY27

8,030
MHz spectrum — 99% in liberalised bands

86.3%
4G population coverage · target 95%+

₹45,000
cr three-year network capex · announced

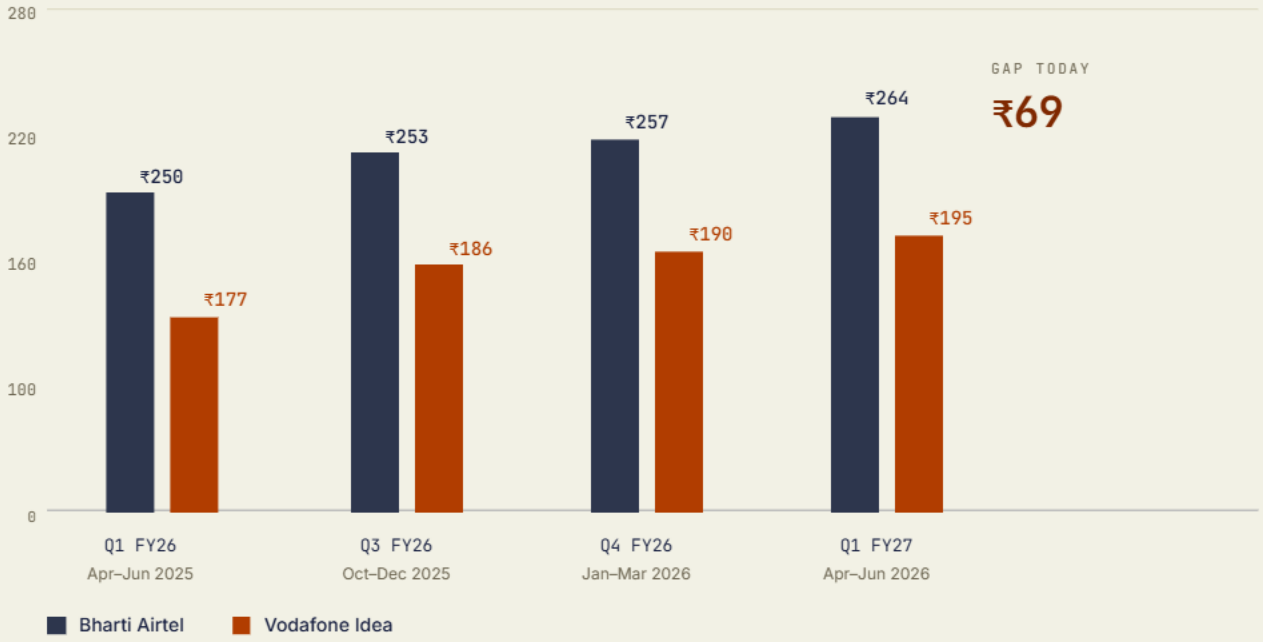
Spectrum banks, 5G footprint, and 4G depth are in place — the conversion of these into ARPU is the missing step.

Source — Vi Annual Report 2025-26; Q1 FY27 release; Light Reading, Oct 2025; Bharti Airtel Q4 FY26 highlights

The ARPU gap isn't narrowing — it still sits at ₹69 per sub in Q1 FY27, and underlying losses persist.

CUSTOMER ARPU · QUARTERLY · ₹/MONTH

Airtel vs Vi · Q1 FY26 → Q1 FY27, with selected reference quarters



THREE STRUCTURAL ISSUES

EBITDA-MARGIN GAP TO AIRTEL — **1,750 bps**

43.1% vs Airtel India FY26 60.1%

5G/POSTPAID GAP — **5×**

Vi 30.1 mn postpaid vs Airtel 30+ mn postpaid — 5× fewer on Vi's 16% share vs Airtel's 8%, but absolute scale is half.

UNDERLYING Q1 FY27 PAT LOSS — **₹3,754 cr**

▼ narrowed 43% YoY, but still negative. FY26 reported PAT distorted by one-off AGR derecognition.

SO WHAT

Without intervention, Vi's blended EBITDA margin stays in the low-40s, finance cost absorbs EBITDA, and the 24 months of AGR clarity slip. The shape of the problem is unambiguous: **ARPU is the lever, margin is the symptom, time is the constraint.**

Source — Airtel Q1 FY27 release · Vi Q1 FY27 release · Vi Annual Report 2025-26; quarterly ARPU at customer level

Profit tree — every node hunts the 1,750-bps margin gap to Airtel.

Vi tree broken into Revenue side, Cost side, and Profit side. Each row compares FY-2 / FY-1 / FY0 against Airtel's FY26 — the gap is the addressable opportunity.

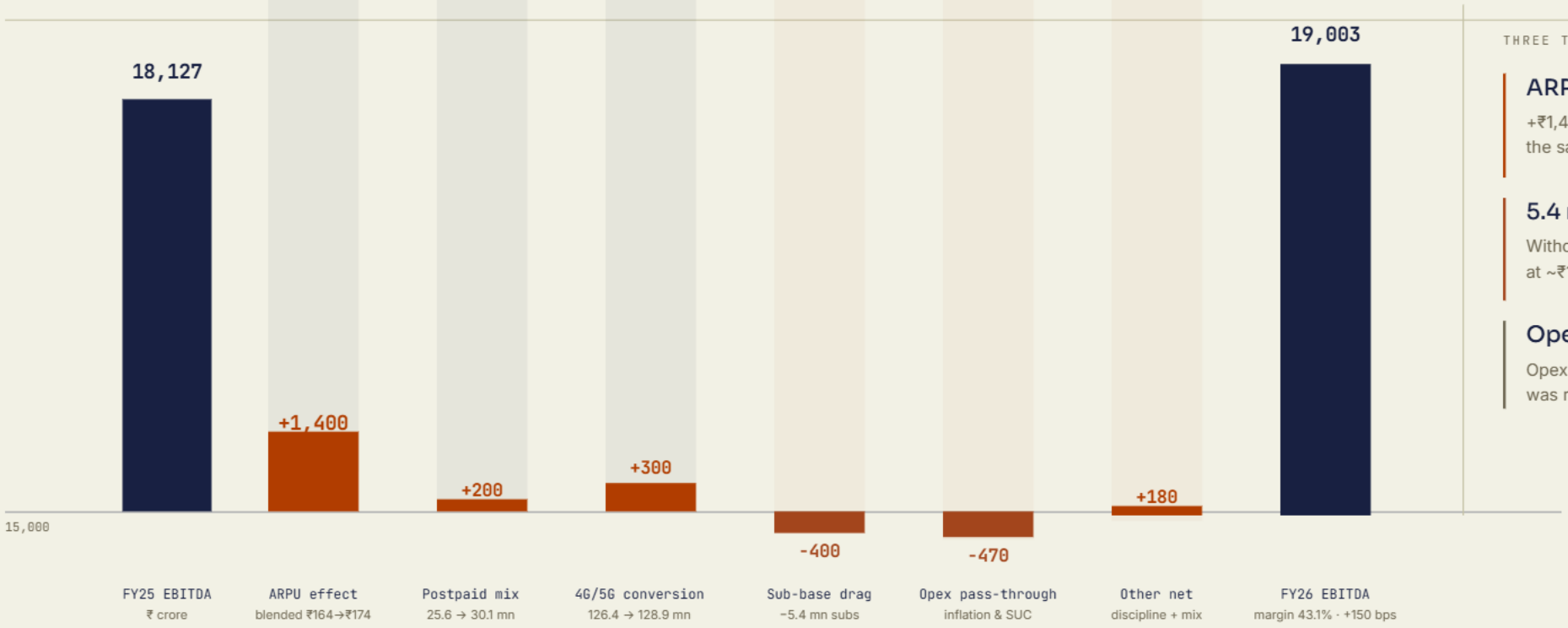
NODE / DRIVER	VI FY24	VI FY25	VI FY26	AIRTEL FY26	GAP
REVENUE · VOLUME × PRICE × MIX					
Subscribers EoP base, mn wireless	219	198.2	192.8	~390	-49%
Customer ARPU ₹ / month, customer level	~146	175	190	~250	-₹60
4G / 5G subscriber share % of total wireless base	~58%	~64%	67%	~75%	-8 pts
Revenue from operations ₹ crore, total	42,650	43,571	44,873	155,066	-71%
COST · VARIABLE + FIXED					
Total opex ₹ crore, ex-D&A and ex-finance	~25,400	25,446	25,870	~61,869	scale
PROFIT · EBITDA → PAT					
Adjusted EBITDA ₹ crore (margin in row below)	~17,300	18,127	19,003	93,197	-80%
Adjusted EBITDA margin % of revenue from operations	~40.6%	41.6%	43.1%	60.1%	-1,700 bps

*So-what: the gap is split across **price (₹60/sub/mo)**, **premium mix**, and **per-sub cost intensity** — not Volume; Vi held volume while peers grew it. **FY26 Vi FY-2 to FY0 trajectory** shows revenue +5%, EBITDA +10% but opex +2% — the opex line is what this diagnostic targets next.*

Source — Vi Annual Report 2025-26 (sign-off figures); Airtel Q4 FY26 highlights; FY24 figures partial/estimated where quarterly disclosure was not full

Indicative attribution of FY26 EBITDA growth — bar heights proportional to ₹ crore movement; values within ±10% of underlying movement, calibrated to Vi quarterly disclosures.

FY25 → FY26: +₹876 cr Adjusted EBITDA — ARPU added most, sub-base drag offset ~30%, opex discipline absorbed the rest.



THREE TAKEAWAYS

ARPU carried the year

+₹1,400 cr of the +₹876 cr net was ARPU alone — the same lever must do more in FY27.

5.4 mn subs lost cost ~₹400 cr

Without this drag, FY26 EBITDA would have closed at ~₹19,400 cr.

Opex held flat; FY27 must unlock it

Opex +₹426 cr while revenue +₹1,302 — leverage was real but small. Tap full potential.

SO WHAT

The bridge tells a clear operational story: ARPU did the heavy lifting, mix shift contributed, opex discipline absorbed the rest. **The lever mix in FY27–FY29 has to tilt to cost & working capital — pure ARPU-rising cannot close 1,700 bps alone.**

Source — Vi Annual Report 2025-26; Vi Q4 FY26 quarterly report; bar values are derived attribution, ranges within ±10%

Airtel clears ₹264 ARPU at 60.6% margin — Vi is ~1,700 bps behind on margin and ₹69 below on ARPU per sub.

METRIC	VODAFONE IDEA	AIRTEL (PEER A)	JIO (PEER B)	BSNL (PEER C)	SO WHAT
Customer ARPU ₹ / month · most recent quarter	₹195	₹264 BEST-IN-CLASS	₹215.6	₹101	₹69 gap to Airtel; Vi's growth fastest off low base.
Subscriber base wireless subscribers, mn · Q1 FY27	193.1	~376.5	~533 BEST-IN-CLASS	100.4	Vi is 51% of Airtel's base — stability returned in Feb 2026.
Adjusted EBITDA margin % of revenue from operations · FY26	43.1%	60.1% BEST-IN-CLASS	~52%	n/d	~1,700 bps gap; biggest gap is operational.
Postpaid share of base % of wireless base · most recent	16% 30.1 / 192.8 mn	8% ~30 / 376.5 mn	~3% est.	low	Vi already over-indexed but absolute base is small.
4G population coverage % of population covered	86.3% target 95%+	~95% BEST-IN-CLASS	~99%	~78%	9-pt gap to Airtel — driveable via Phase-2 capex.
Customer ARPU growth · YoY Q1 FY27 vs Q1 FY26	+10.2% FASTEST	+5.6%	+2.8%	+42% off low base	Speed is on Vi's side — now translate to absolute ₹.

SO WHAT

Airtel is best-in-class on ARPU, margin, and 4G coverage; Jio leads on absolute scale; Vi leads on growth velocity. The combined signal: **Vi has the room and the subscriber base — the gap is monetisation, not infrastructure.**

Source — Vi Annual Report 2025-26; Airtel Q1 FY27 release; Jio Q1 FY27 release; BSNL TRAI data

Three named levers close the gap — together adding ~₹10,000 cr EBITDA and unlocking ~₹4,000 cr one-time cash.

LEVER 1 · REVENUE — EASE 4/5

Lift blended ARPU ₹195 → ₹227 by closing half the gap

Postpaid-led conversion, premium data plans, and selective entry-level price repair. Each ₹10 of ARPU ≈ ₹2,300 cr revenue / ~₹1,000 cr EBITDA at current margins.

EBITDA ADDITION · ₹ CRORE

3,500–7,000

low / base / high — base ₹5,500 cr

INITIATIVES	Re-tiered entry plans, postpaid sales motion, data ARPU uplift, 5G premium plans
ONE-TIME COST	₹600 cr · brand + sales motion re-build
TIME-TO-IMPACT	6–18 months · visible by Q3 FY27
OWNER	CRO · CCO · CMO
CONFIDENCE	High — internal data shows low elasticity

LEVER 2 · COST — EASE 3/5

Cut network opex per sub by ~8% across 566,376 sites

Energy efficiency, AI-driven ops automation, tower portfolio MSA renewal, shared back-haul. Vi's network opex per sub runs ~25% above Airtel at FY26 levels.

EBITDA ADDITION · ₹ CRORE

800–2,200

low / base / high — base ₹1,500 cr

INITIATIVES	AI ops automation, energy efficiency, tower MSA renegotiation, fibre back-haul sharing
ONE-TIME COST	₹400 cr · software + change-management
TIME-TO-IMPACT	9–24 months · full flow by FY29
OWNER	COO · CTO · CFO (procurement)
CONFIDENCE	Medium — counterparty risk on MSA renewal

LEVER 3 · ASSET / WC — EASE 2/5

Free working capital and redeploy under-utilised spectrum

Spectrum redeployment trade, fibre selective sale-leaseback, vendor financing roll-over, and select spectrum sharing. Treat as the most operationally heavy but financially largest.

EBITDA RUN-RATE · ₹ CRORE

500–1,800

plus ₹3,000–4,500 cr of one-time cash

INITIATIVES	Spectrum trade, fibre sale-leaseback, vendor financing, sale of 2G-only sites
ONE-TIME CASH	₹3,000–4,500 cr · funds Phase-2 capex
TIME-TO-IMPACT	12–24 months · tranche & fund Phase-2
OWNER	CFO · GC · CDO
CONFIDENCE	Medium — execution heavy

TOTAL EBITDA ADDITION	BASE CASE	ONE-TIME CASH FREED	FY29 TARGET · BASE
₹5,800–10,500 cr	~₹8,500 cr	~₹3,750 cr	~₹27,500 cr
stretch to ~₹29,000 cr on tariffs			

Source — Vi Annual Report 2025-26; Airtel Q4 FY26; ranges within ±15% of base-case estimates

Three-phase rollout — quick wins by Q2 FY27, build through FY28, scale into FY29.

Sequenced to capture Phase-1 cash early while preserving Phase-3 capital optionality; base case lands at ~₹27,500 cr with stretch to ~₹29,000 cr if tariffs move.

FY27 Q2 | FY27 Q3 | FY27 Q4 | FY28 Q1 | FY28 Q2 | FY28 Q3 | FY28 Q4 | FY29 Q1–Q4

PHASE 1 · QUICK WINS · 0–3 MONTHS

SEP'26 – DEC'26

Reposition entry plans, halt structural bleed.

ACTIONS	Re-tier entry prepaid; renegotiate top-25 vendor MSAs; freeze non-revenue hires.
OWNER	CRO · CFO
KPI	ARPU ₹195→₹200; churn ≤3.9%.

₹ DELIVERED BY END OF PHASE

~₹800–1,200 cr

run-rate · +30–50 bps margin

PHASE 2 · BUILD · 3–9 MONTHS

DEC'26 – JUN'27

Expand 5G, build postpaid motion, automate ops.

ACTIONS	5G to 60% pop coverage; postpaid sales; AI-driven NOC.
OWNER	COO · CTO · CCO
KPI	ARPU ₹200→₹210; EBITDA margin 46%.

₹ DELIVERED BY END OF PHASE

~₹3,000–3,500 cr

run-rate · +250 bps margin

PHASE 3 · SCALE · 9–24 MONTHS

JUL'27 – MAR'29

Scale 5G, monetise spectrum and fibre.

ACTIONS	5G to 95%+pop; spectrum redeployment; fibre sale-leaseback; enterprise scale-out.
OWNER	COO · CFO · CDO
KPI	ARPU ₹210→₹227; margin 51%.

₹ DELIVERED BY END OF PHASE

~₹3,500–4,500 cr

run-rate · +400 bps · +₹3,750 cr one-time cash

CUMULATIVE RUN-RATE BY FY29

~₹8,500 cr EBITDA

+₹3,750 cr one-time cash · margin 51% · target ~₹27,500 cr

OPERATING CADENCE

Monthly MR · quarterly board read-out · semi-annual capital committee

NEXT CHECKPOINT

30 days post-decision — Phase-1 launches, KPI dashboard live

Source — Vi Annual Report 2025-26; phase ₹ ranges are base case within ±15%

Three execution risks tracked monthly — and the decision asked today.

RISKS TO PLAN · PROBABILITY × MITIGATION × OWNER

RISK	PROBABILITY	MITIGATION	OWNER · STATUS
Subscriber stabilisation reverses; churn spikes First net adds in 8 quarters is fragile; any miss reverses ₹800–1,200 cr of Phase-1 EBITDA.	MEDIUM	Test packs in 4 circles first; postpaid-led retention offers; BFSI / PSU enterprise lock-ins. Pause price actions if monthly net adds turn negative in 2+ months.	CRO TRACKING
Phase-2 capex overruns the ₹45,000 cr envelope Multi-vendor rollout, spectrum related investments, fiber & small-cell densification; each is a budget risk.	HIGH	Stage-gate at each phase with fixed envelope; vendor financing to spread cash outflows; pull forward sale-leaseback if envelope breaches 110%.	COO + CFO ACTIVE · MONTHLY
Indus / tower counterparty renegotiation breaks down MSA renewal at scale threatens the entire ₹1,500 cr base of Lever 2.	MEDIUM	Pre-pay 4 quarters to unlock discount; identify 2 regional tower fall-backs; explore sale-leaseback of own fibre as alternative.	CFO + COO WATCHED

DECISION ASKED TODAY

Approve **~₹5,600 cr** of net Phase-1 + early-Phase-2 spend and authorise the CFO to lead Indus MSA renegotiation, with a 30-day post-decision checkpoint.

QUICK-WIN ENVELOPE	PHASE-2 ENVELOPE	PHASE-2 CASH FREED
₹800–1,200 cr	~₹4,400 cr	~₹3,750 cr

WHAT'S NOT IN THIS ASK

Discussion welcome — tariff-hike upside scenarios +10–15% (not in base case).

For awareness — equity raise beyond Phase-1 envelope; AGR-review appeal outcomes.

Tracked separately — 9–24 month Phase-3 spend envelope (~₹6,000 cr).

Sources

Vi Annual Report 2025–26 · Vi Q1 FY27 quarterly release · Bharti Airtel Q4 FY26 highlights · Bharti Airtel Q1 FY27 release · Reliance Jio Platforms FY26 disclosure · TRAI press releases · Reuters / LiveMint / EconomicTimes coverage Oct 2025 – Oct 2026 · Internal analysis